

RECAP 1

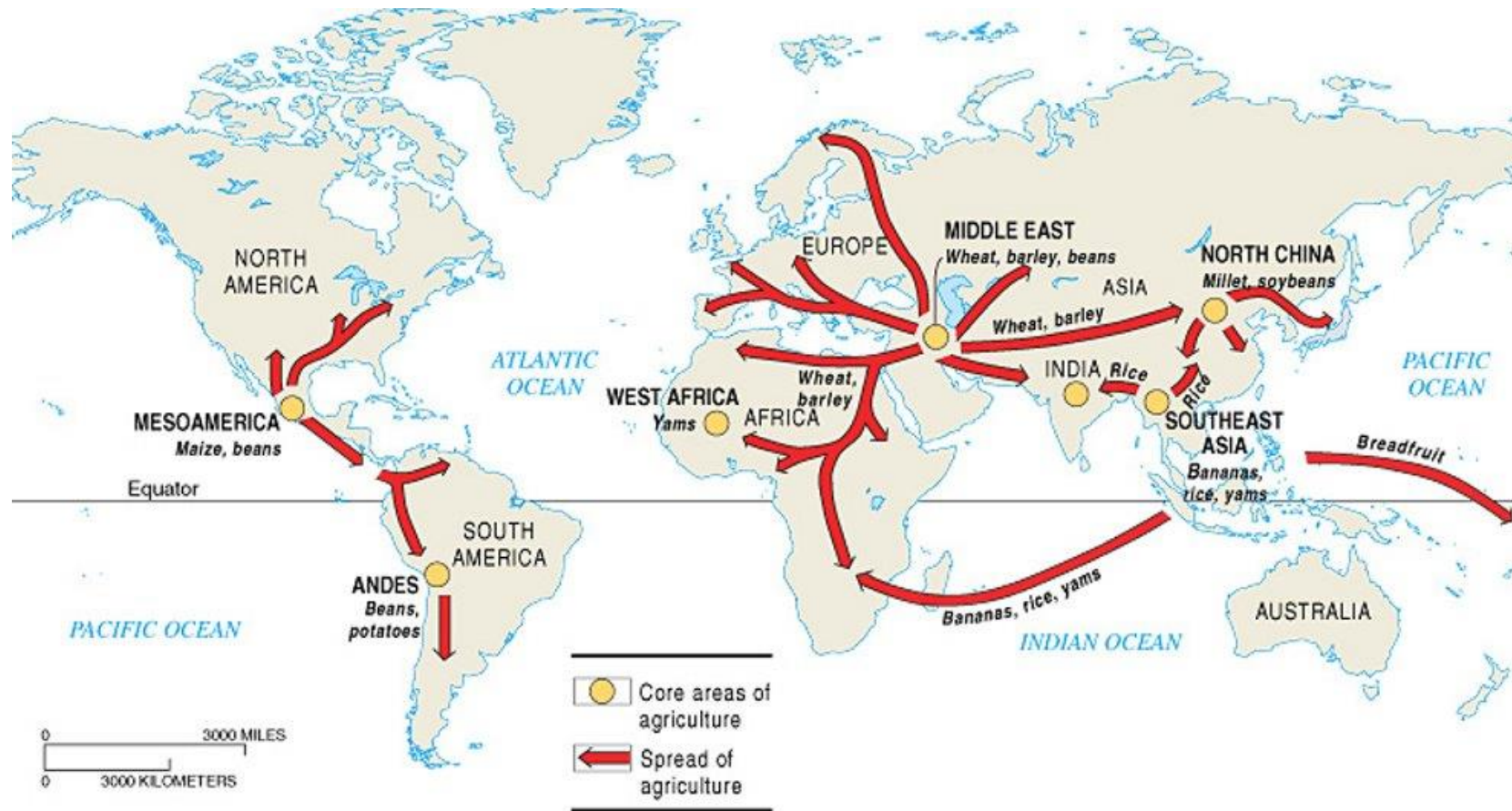
From the Agrarian Revolution to the First Globalization

Sonia Schifano

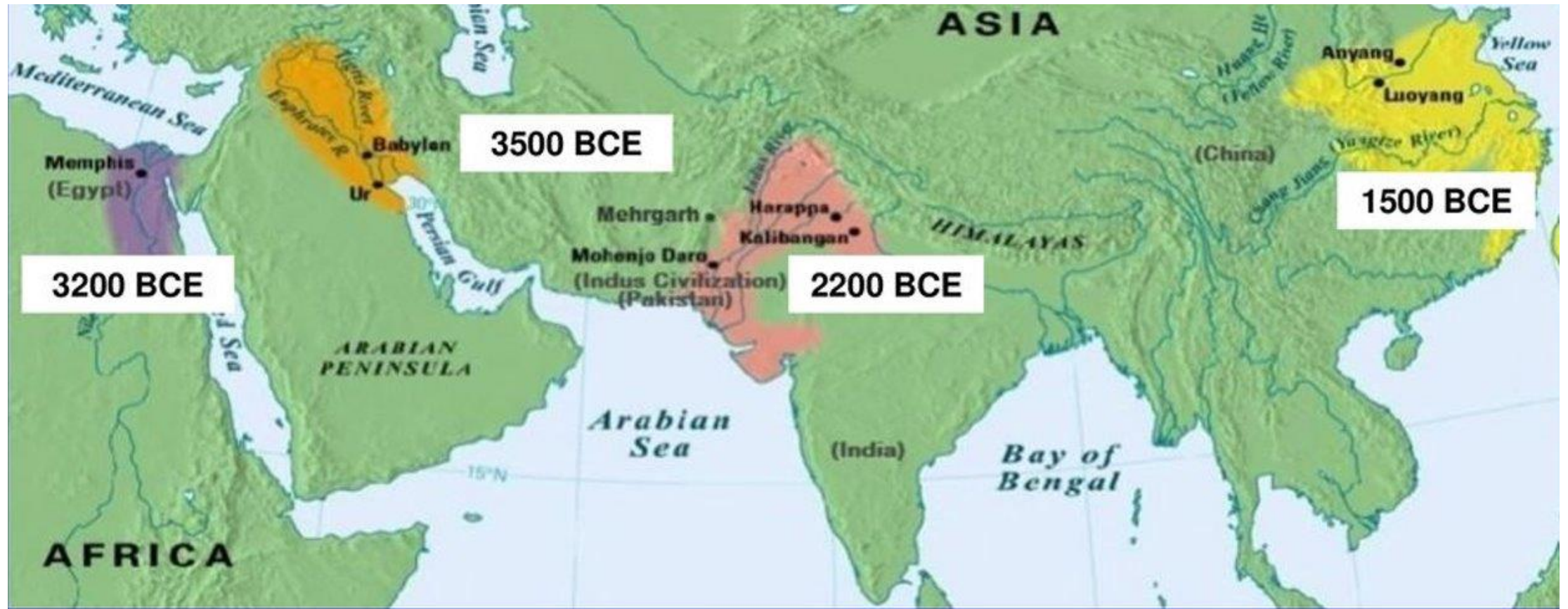
30067

A.Y. 2025/2026

THE AGRARIAN REVOLUTION (10.000 BCE)



THE URBAN REVOLUTION (3.000 BCE)

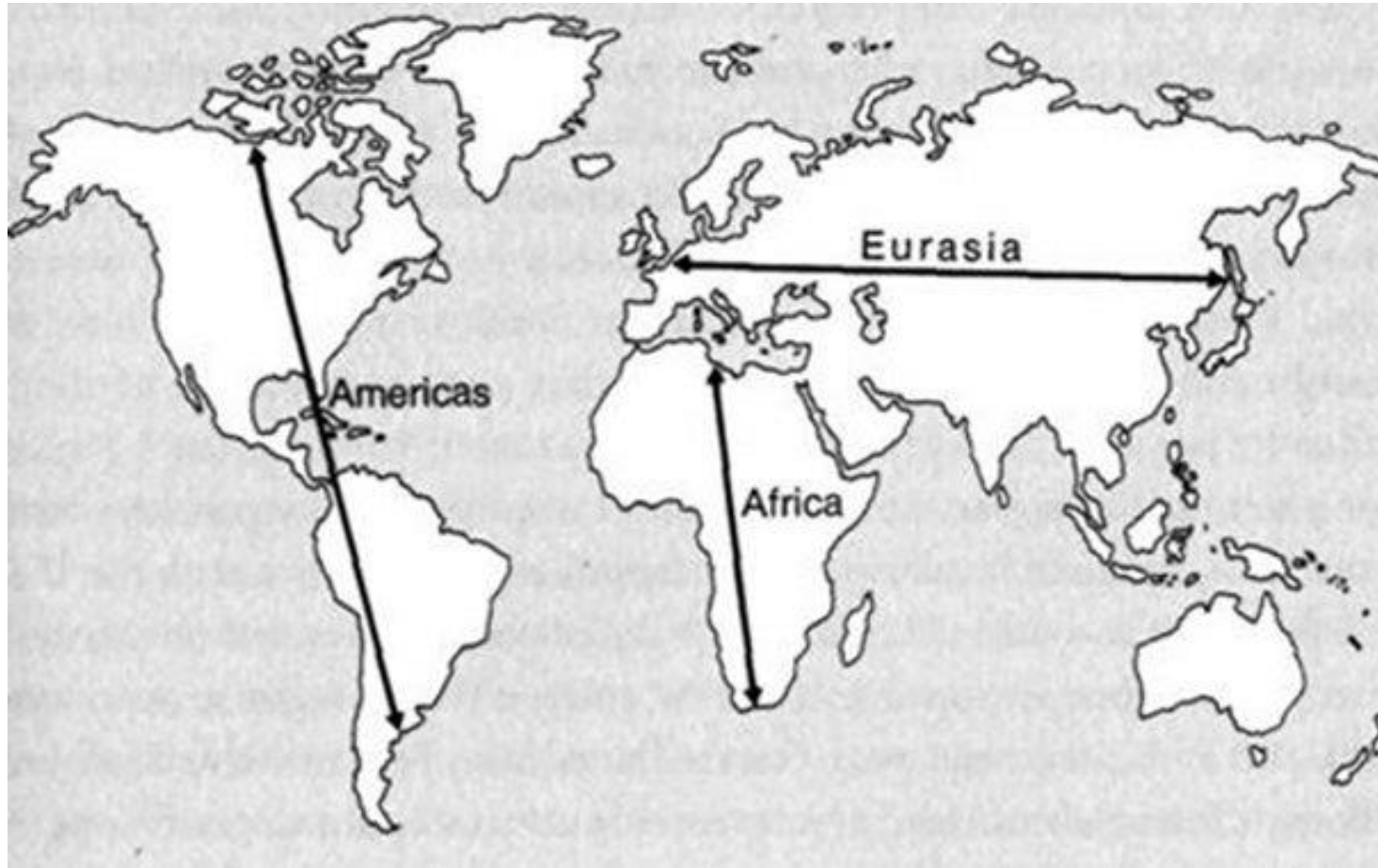


THE PROTO DIVERGENCE

Process by which
Europe and Asia
started to grow more
than the rest of the
world

3000 BCE with
the Urban
revolution

Jack GOODY
Institutional
conditions



Jared DIAMOND
Environmental
conditions

1. Population density
2. Agricultural productivity

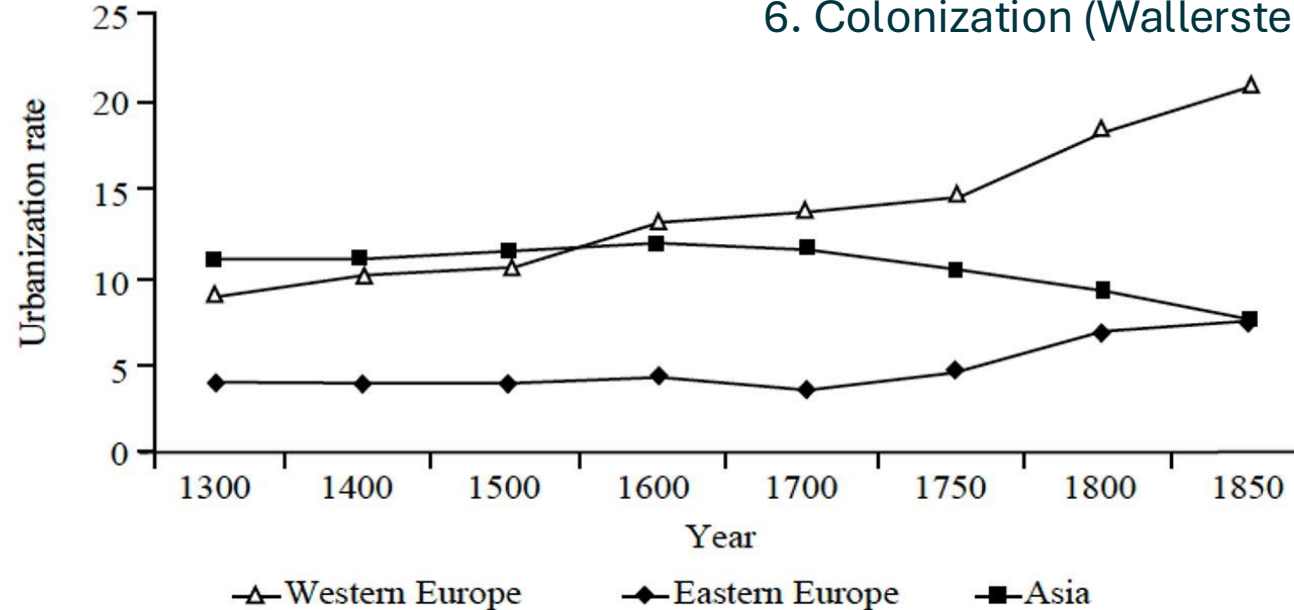
THE GREAT DIVERGENCE

Process by which
Europe started to grow
more than Asia

Starting points:
1. Black Death of 1347
2. Opening of closed
worlds (1434)
3. Industrial revolution
4. End of XIX century
(according to
Pomeranz)

Theories and authors:

1. Demographic explanations
2. Impact of Black Death (Clark)
3. Institutional conditions (Needham+Landes, North and Thomas)
4. Environmental conditions (Diamond)
5. Exploitation of America but real effect on divergence seen only starting from the end of XIX century (Pomeranz)
6. Colonization (Wallerstein)



Higher in Europe:
1. Population density
2. Urbanization rate
3. Urban wages
4. Income per capita

Source: D. Acemoglu, S. Johnson, J.A Robinson, "The Rise of Europe", in *American Economic Review*, 2005. In the graph, Asia refers only to India and China.

THE LITTLE DIVERGENCE

Process by which the **North of Europe** started to grow more than the South of Europe

Starting from the 16th century



1. Demography (Hajnal, Clark, Alfani)
2. Mix of demography and institutions (labour market) (De Moor, Van Zanden, De Vries)
3. Putting-out-system
4. Institutions more open to the needs of the new rising mercantile class (North, Acemoglu, Weingast)
5. Political institutions (process of parliamentarization) (North+Weingast+Acemoglu et al.)
6. Citizenship rights (Prak, Van Zanden)
7. Religion that legitimizes success and wealth (Weber)

In the North of Europe:

1. More social mobility and higher per capita income (De Moor+Van Zanden)
2. Lower birth rate if compared to the South of Europe (Hajnal)
3. More private consumption (De Moor, Van Zanden, De Vries)
4. More productivity in manufacturing thanks to putting-out-system

First IR

Textile + mining and processing of ferrous metals!!!

Agricultural revolution: enclosures (privatization of land) and technical innovation



- Increase in productivity:
- People moving from agricultural sector towards manufacturing
- Higher urbanization rate
- Population growth (Demographic transition which means escape from Malthusian trap)

Consumer revolution

1. Price of factors of production (Allen analysis on real wages:
2. Price of energy: charcoal becoming very expensive and this led to more and more innovation for coal extraction

Enlightment - Mokyr

Institutional factors

- Parliament is in charge of economic policy choices
- More inclusive political institutions



Parliament regulates economic life on macro and micro level:

- Commercial policy (Navigation acts+Calico Acts)
- Enclosures
- Fiscal policy
- Monetary policy

Transports: turnpike roads and internal canals



- National market
- Reduction in time and cost of transport
- More market opportunities for entrepreneurs

FIRST IR: EFFECTS

- A new economic structure: manufacturing is contributing more to GDP than agriculture
 - Escape from Malthusian trap (population growth and also income per capita growth)
 - Imitation by other nations to get industrialized and more competition in the world economic arena
 - Intensification of trade among nations
 - Rise in economic inequality among nations
 - New relationship between man and work
 - Starting point of modern economic growth (Kuznets)
 - Irreversible transformation: not only economic transformation but also big social and cultural change

SECOND IR

- Scientific Process and Technological Process
- Scientific Process and Production Process
 - R&D
- Great Capital intensive technologies

Key role of scientific knowledge!!!

- Different industrial sectors
 - Chemical
 - Electrical
 - Energetical

- Reduction in Transport Costs
- Increase in information
- Market Integration

- Creation of Big Businesses
 - Economies of Scale
 - Vertical Integration
 - Industrial Concentration
 - Competition

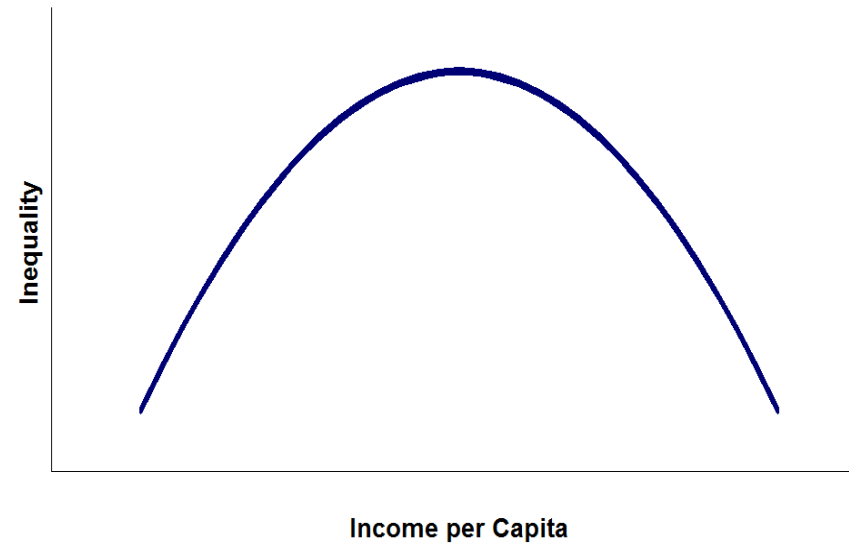
- Management becomes a science (Taylorism)

- New production approach (Fordism)
 - Assembly Line
 - Standardisation

IR AND LIVING STANDARDS

Simon Kuznets:
Inequality and industrialisation

Knowledge and Education



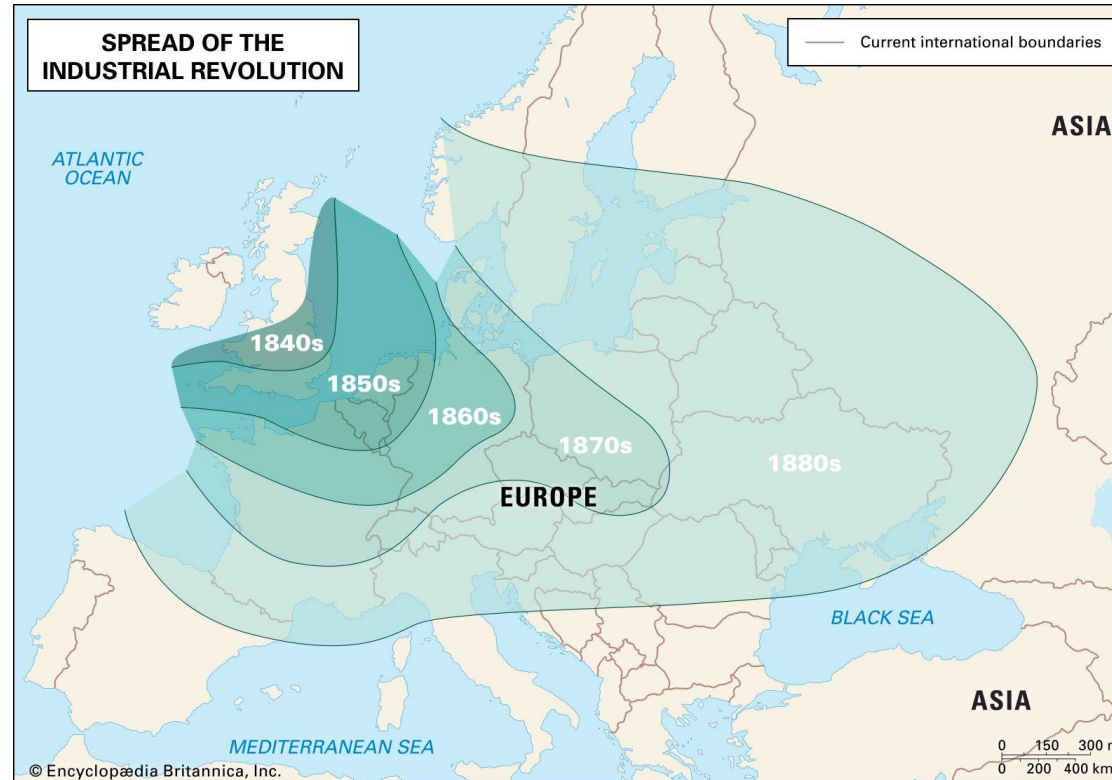
Mokyr:
Living standards

Shift from the Old Regime

UNSTOPPABLE PROCESS

Sidney Pollard → **regional developments**

Alexander Gerschenkron →
the **advantages of backwardness**



The State

The Bank System

Raw Materials

Competencies

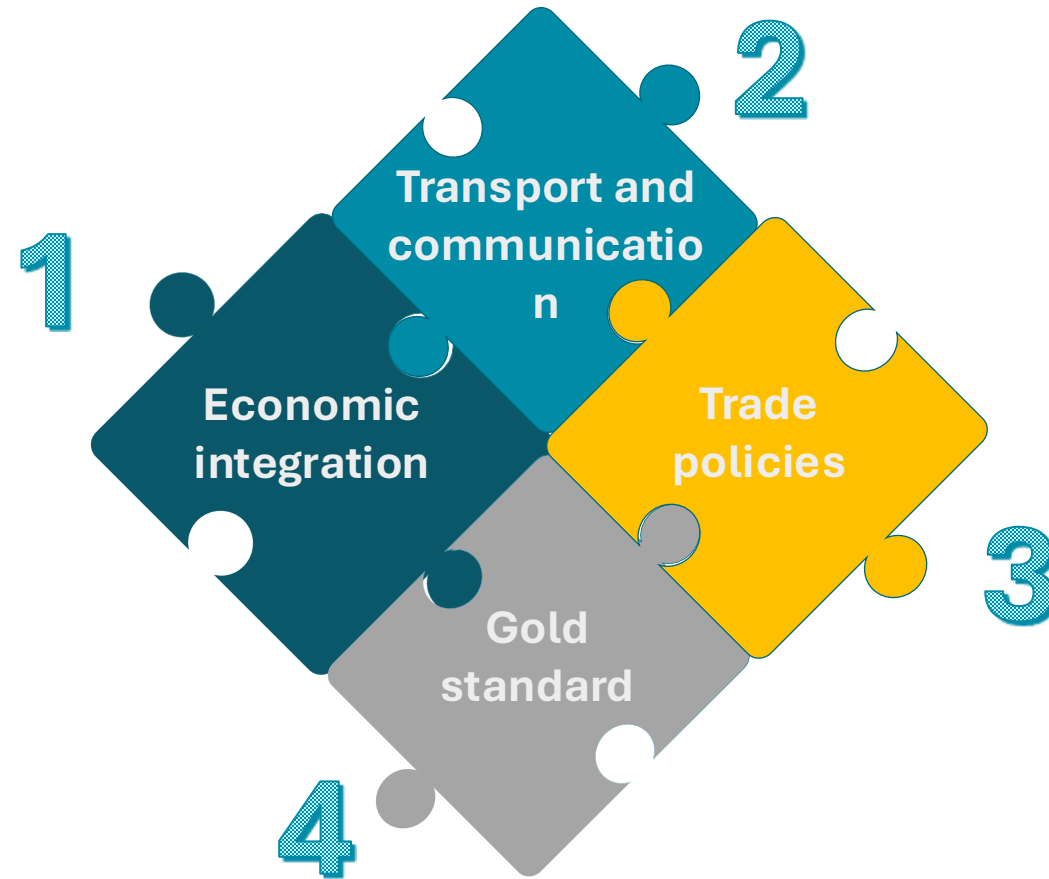
France vs Germany vs Belgium

USA vs Japan vs China

THE FIRST GLOBALIZATION

Imperialism

Migration



Great Deflation

Inequality

Programme overview

Part I	Rise of the West	1. Origins of economic development 2. Pre-industrial economies 3. The Industrial Revolution 4. Industrial economies 5. The first age of globalisation
Part II	The modern world	6. WWI and Economic development after World War I 7. Depression and deglobalization 8. Economic development after World War II 9. The new age of globalisation

1. OUTLINE

- Learning material
 - Course content
 - Course readings
- Exam regulations
 - Midterm Exam
 - Type of questions → Guide to open questions
- Interactive mock exam → 10 closed questions

2. AIMS OF THE COURSE

- Introduce the study of economic history
 - Western economic development from early modern times
 - The history of economic growth
- Course content
 - Part I: The rise of the West and the Industrial Revolution
 - Part II: Modern economies and macroeconomic policy
- Learning outcomes
 - Understand simple tools of economic measurement
 - Demonstrate how economic theory can explain development

3. COURSE CONTENT

1. *The origins of economic development*
2. *Preindustrial economies*
 - The high-wage economy of north-western Europe
 - The agricultural revolution in England
 - The energy revolution in England
3. *The Industrial Revolution*
 - The British Industrial Revolution
 - The origins of modern economic growth
4. *Industrial economies*
 - The demographic transition
 - Living standards and inequality
5. *The first age of globalisation*

4. SO, WHAT TO STUDY

- It depends
 - If you want *cum laude*, then ‘everything’
 - Otherwise, you can focus
 - Most test questions covered lectures’ note and slides
 - A few can only be answered based on lectures
 - Open questions can be answered based on slides and notes
- Illustrations: main message, not the details

5. HOW MUCH THEORY?

- You do NOT need to
 - remember exact years
 - replicate graphs
 - memorize definitions
- BUT questions may test
 - whether you understand the theory
 - whether you know in what context they have been applied

6. MIDTERM EXAM

- 2 chronological order questions
- 8 closed questions
 - Multiple choice with 5 possible answers: 1 of 3 alternative answers, all of them, or none of them
 - **Only one correct answer!**
 - **Don't guess; think!**
- Open questions
 - Answer 1 of 2 questions: two questions on two different topics
 - **Answer in approximately 250 words!**

7. PART 1: CLOSED QUESTIONS

- Mark for this section: 9 best answers + 3 points
 - Points for each question: correct (3), no answer (1), wrong (0)
- What does this mean?
 - 10 correct answers: 31
 - 9 correct answers: 30
 - 8 correct answers + 1 blank: 28
 - 8 correct answers, the rest wrong: 27
 - 7 correct answers + 2 blank: 26
 - 7 correct answers + 1 blank: 25
 - 7 correct answers, the rest wrong: 24
 - ...
 - 5 correct answers: 18

8. PART 2: OPEN QUESTIONS

- Answer only ONE of TWO questions
- Think about your choice carefully
 - 2 out of 5 topics will come up
 - Pick the questions you can answer best in limited time and space
- Take a few minutes to construct your answer
 - Look for keywords; make a few bullet-points (but do not use them in the final answer)
 - Delete all notes at the end: we mark everything that you submit
 - In the online exam, you cannot include model diagrams, **but you can refer to and/or explain relevant theory.**

➤ **Make sure you saved your answer!**

9. OPEN QUESTIONS: GUIDELINES

- Assessment criteria
 1. Did you demonstrate knowledge on the topic?
 2. Did you answer the question?
 3. Did you discuss the most relevant facts?
 4. Was your answer precise and accurate?
 5. Was your argument well constructed?
 6. Was your answer well written? → I do not consider typos
- How to get the best mark?
 - **Be careful:** Make sure that you understand the question.
 - **Be concise:** Focus on facts that are strictly relevant to the question.
 - **Be coherent:** Do not just list facts; explain them clearly and logically

10. OPEN QUESTIONS: GRADING

29-31	<u>Strong answers</u> ; very good command of relevant facts and/or arguments, and evidence of ability to organise them with clarity, insight and efficiency.
26-28	<u>Good answers</u> ; clear analysis and argumentation, but not comprehensive command of evidence; or work showing thoroughness but less clarity in organisation and analysis.
22-25	<u>Decent answers</u> ; no major defects, but incomplete account of the question, or flawed with inaccuracies; or lack of analysis and argumentation.
18-21	<u>Weak answers</u> ; with confusing argumentation, but some evidence of knowledge; or competent work that does not address the question.
Fail	<u>Very poor quality</u> ; little (if any) evidence of study